

CHAPTER EIGHT

ECONOMIC ACTIVITIES IN ETHIOPIA

- ❖ **Activities** which are designed to satisfy the needs of human beings, are known as economic activities.
- ❖ **Economic activities** are highly diversified in their nature and characters. Some are simple while others are complex.
- ❖ Some are primitive where as others are advanced. But whatsoever characters they have, all of them are equally important through satisfying peoples' needs.

- ❖ Geographers classify a nation's economy into primary, secondary, tertiary or the service sectors.
- ❖ Increasingly the service sectors are seen as forming a fourth or quaternary sector and a fifth or quinary sector.
- ❖ The primary sector includes the production of raw material and basic foods.
- ❖ Activities associated with the primary sector include agriculture (both subsistence and commercial), mining, forestry, farming, grazing, hunting and gathering, fishing and quarrying.

- ❖ The secondary sector of the economy **manufactures** finished goods. All of **manufacturing activities**, and **construction** lie within the secondary sector.
- ❖ The tertiary sector of the economy is the service industry that provides services to the general population and businesses.
- ❖ Activities associated with this sector include retail and wholesale sales, transportation and distribution, entertainment, restaurants, clerical services, media, tourism, insurance, banking, healthcare, and law.

1. Mining Activity in Ethiopia

- ❖ Mining involves the search for minerals from the crust of the earth. Minerals are naturally occurring organic and inorganic substances.
- ❖ They form important part of natural resources. Mining is important to the economy of Ethiopia.
- ❖ Currently, mining contributes to only 1.5 % of GDP (USD 32 billion

The importance of Mining sector in Ethiopia

Economic benefits

Generates revenue from sales, taxes, royalty

Generates foreign currency earnings

Employment opportunity

- ❖ The contribution of mining to employment in Ethiopia is today small (a few thousand), as the sector is small and mining is not a labour-intensive industry.
- ❖ Artisanal mining on the other hand is likely to involve several hundred thousand workers.

Social Benefits

Expansion of infrastructures such as roads, electric power, telecommunication etc.

Expansion of social services such as health facilities, schools service, schools, water facilities as well as airstrips for the local communities.

Train local communities to engage in other form of business such as plantation of coffee and other trees, introducing agricultural activities (irrigation)

Promote small entrepreneur's engagement by providing services such as hotel, mini- markets, stationeries, etc.

2. Forestry

- ❖ It is related to exploiting forest products, which include gathering of fuel wood, production of timber and charcoal, and construction of houses.

3. Fishery

- ❖ Fishing is a primary economic activity that involves harvesting of fish resources from water bodies.
- ❖ Fishing is known to be one of the oldest human activities. Still fishing is the most widely spread economic activity both in private and modern societies.

4. Agriculture

- ❖ Agriculture is defined as the purposeful tending of animals and plants.

Characteristics of Ethiopian Agriculture

- ❖ Subsistence Orientation
- ❖ Fragmentation of farm plots and Small size of Holdings
- ❖ Low Use of Inputs
- ❖ Susceptibility to Disasters
- ❖ Limited practice of irrigation and dependence on rain-fed agriculture

Agriculture Systems in Ethiopia

- ❖ Agricultural system is defined in terms of similar resource basis, enterprise patterns, household livelihood and constraint; and thus, could have similar development strategies and

^{interventions}
The agricultural systems of Ethiopia can be classified based on:

The **Agro-ecological patterns** to which the practices have been confined.

Dominant types of crops or animals reared or combinations.

Farming methods and tools used for cultivation, which are a reflection of topographic and climatic influence.

Level of technological input and the disposal of output.

❖ Based on the dominant crops cultivated or animals reared and the main implements used in cultivation, the following major farming systems are identified:

1. Highland mixed farming system
2. Lowland mixed farming system
3. Pastoral system
4. Shifting cultivation
5. Commercial agriculture

Major problems of Ethiopian agriculture

- ❖ Land degradation
- ❖ Variable rainfall
- ❖ Land fragmentation
- ❖ Land tenure insecurity
- ❖ Backward technology
- ❖ Poor rural infrastructure

6. Manufacturing Industry in Ethiopia

- ❖ Manufacturing is a process of changing commodities to consumable forms. In this process there is an addition of value.

Types and characteristics of manufacturing

There are two types of industries in Ethiopia.

1. The Cottage (traditional) industries

- ❖ Though the time of their inception is not clearly known, various kinds of weaving, woodcarving, pottery, metal works, basketry etc. are known for a long time.

2. Manufacturing Industries

- ❖ In Ethiopia manufacturing industries are at a low level of development.
- ❖ Most of the manufacturing industries are light industries i.e. industries that process consumer goods like textiles, food, tobacco etc.
- ❖ Heavy industries that manufacture capital goods are very small.

The Spatial Distribution of Manufacturing Industries in Ethiopia

- ❖ Historically, manufacturing establishments have been concentrated in a few large towns.
- ❖ In 1995/96 the top ten towns accounted for about 85 per cent of the total number of establishments and 79 per cent employment; where in the same year Addis Ababa alone accounted for about 67 per cent and 60 per cent respectively.
- ❖ This concentration has shown a modest decline and in 2009/10 the top ten towns share reached 60 percent and 62 per cent of the total number of MLSM establishments and employment respectively.

- ❖ The share of Addis Ababa also correspondingly declined to 40 per cent and 46 per cent respectively in the same year.
- ❖ New industrial towns such as Burayu, Sululta, Sebeta, Mojo, and Ambo are emerging around the capital city.
- ❖ Four of these were among the top ten industrial towns in both 2003/04 and 2009/10.
- ❖ This brings the concentration in Addis Ababa and the surrounding towns (in a 100 km radius), for example in 2009/10, to above 48 per cent (number of establishments) and 52 per cent (in terms of employment).

- ❖ Some of the current regional capitals such as Hawassa in the south, Dire Dawa in the east, Mekelle in the north, and Bahr Dar in the northwest are also among the top ten towns hosting a substantial number of industrial establishments.
- ❖ The gap between the first and the next top ranking towns is, however, very large.
- ❖ For example, in 2009/10, the first top town (Addis Ababa) hosted about eleven times more manufacturing establishments than the second largest industrial concentration town (Hawassa).

- ❖ Looking at the current spatial distribution of industries similar trends is observed over the recent period where industrial distribution and activities concentrate in specific regions.
- ❖ The total number of large and medium scale manufacturing industries reported in 2015/16 was 3,596. About 37 percent of the manufacturing industries were located in Addis Ababa followed by Oromia with more than 27 percent and Tigray with about 14 percent of the industries. Many of the industries in Oromia are located around Addis Ababa.

- ❖ There could be many reasons as to why industries concentrate in and around specific towns and regions in the country.
- ❖ The agglomeration of industries in towns and specific regions mentioned above is explained by the availability of infra-structural facilities.
- ❖ In the case of the Addis Ababa-Adama industrial area, the Addis-Djibouti railway, proximity to the port of Djibouti, and availability of social service facilities are important.

- ❖ The railway and the development of infrastructure in the area explain the relatively higher concentration of industries around Dire Dawa.
- ❖ Political decisions could also influence the spatial distribution of manufacturing industries

Industrial parks/zones in Ethiopia

- ❖ The agro-processing industries, leather products and the textile and apparel sectors have been designated as top priority manufacturing industries in the latest 5-year development plan (2015 to 2020). The main reasons include:

- i. strong linkages with the **agricultural sector** as they use **inputs from the livestock and cotton sectors**,
- ii. they are also both labour intensive, thus **absorbing labor from the agricultural sector**, and
- iii. they have **major export potential and low entry barriers**.

To unleash these supportive industries, the government established industrial parks across the country to cluster these industries

- ❖ The development and construction of industrial parks started in 2014 when the Ethiopian **Industrial Parks Development Corporation (IPDC)** was established.
- ❖ It gained momentum in 2015 with the Industrial Parks proclamation 886/2015. Three mechanisms are in place for the establishment of IPs/SEZs:
 - a. fully developed by the federal or regional government;
 - b. developed by PPPs with the IPDC and
 - c. by private developers only.

❖ Industrial parks in Ethiopia can also be categorized based on their focus sector;

Textile and garment;

Leather and shoes

Agro-processing,

Pharmaceutical and IT park.

Contributions of Industrial Parks in Ethiopia

Stimulating investment and creating employment

Facilitating export growth and foreign exchange earnings

Developing industrial clusters through forward/backward linkages

Eliciting knowledge transfer and technology spill over

Establishing connections to global value chain

Fostering Sustainable Growth and social equality

Enforcing implementation of national industrialization strategy

The Sugar Sector Mega Projects in Ethiopia

- ❖ Sugar Industry is one of the industries which contribute immensely for the industrial transformation of our country.
- ❖ The country has huge labour and resources like water, suitable climate and ideal landscape to expand this export-oriented manufacturing industry.
- ❖ Ethiopia has favourable climate for sugarcane development.

- ❖ Large sugar plantations and factories like Omo-Kuraz Sugar Factory II, Kessema , Arjo Dediessa, Tendaho, Finchaa, Metehara, Wolqayet Sugar development project, Tana-belese Sugar Factory II etc.
- ❖ However, work on the construction of the major sugar factories is delayed and yet to be completed.

The Service Sector in Ethiopia

- ❖ Tertiary economic activity involves the distribution and provision of goods and rendering services. Tertiary institutions include wholesale and retail outlets, banking and other financial services, governmental and educational services, medical facilities, and much other business and service functions upon which we depend daily.
- ❖ Security services, transportation, information and telecommunication services, tourism, health services, education institutions and research centres all are vital tertiary economic activities.

There are five different types of transport in Ethiopia

These are:

a. Traditional Transport

- ❖ This includes the **use of pack animals** (donkeys, mules, horses, camel) and **goods carried by humans**. The contribution of these means of transport to the national economy is not known in statistical terms. In rural Ethiopia where modern transport systems are very few, it is obvious that they make immense contributions. Even in urban areas like Addis Ababa, modern means of transport has not totally done away with the traditional means.

b. Road transport

- ❖ Today most passengers and goods in Ethiopia are transported by road transport. In Ethiopia road transportation is relatively a recent phenomenon.
- ❖ Italians basically started it during their period of occupation. These roads were essentially built for **military movement purposes**. In other words, they were **not built for the purpose of economic integration of the country**.
- ❖ Later on, with Addis Ababa growing as the political centre of the country, the roads built in subsequent periods were constructed for **administrative connections**.

i. Road Network

- ❖ Data obtained from the Ethiopian Roads Authority showed that during 2004/05 classified road network in Ethiopia was 37,018 km while the total road network increased rapidly and reached 126,773 km during 2017/18 (this includes 35,958 km rural road (28.3%).

ii. Road Density

- ❖ The rugged terrain in Ethiopia makes road construction difficult and expensive. If we compare the length of roads to the total area of the country, we observe that it serves a small area.
- ❖ One km road serves an area of about 66 sqkm. If we generously assume a distance 10 kms on either side of a road as being accessible only about 370, 000, sqkm area or 30 percent of the country is accessible.

- ❖ In many cases roads assume the purpose of connecting nodes or places forgetting the people and the economy in the hinterland or in between the nodes.
- ❖ The road density/1000 persons was 0.5 in 2004/5 that increased to 1.27 in 2017/18.
- ❖ Likewise the road density/1000square kilometre was 33.7 in 2004/5 that improved in a way to 115.2 in 2017/18.

- ❖ Although the road network has shown an increasing trend, the progress so far is still far below the need compared to the large land area and population of the country.
- ❖ Network distribution per thousand sq. km and per million people is only 115.2 km and 1.3 km, respectively.
- ❖ This makes the country one of the least accessible in Sub-Saharan Africa.

iii. Road accessibility

- ❖ In 2016/17, annual average distance from all-weather roads declined by 6.5 percent from 4.6 km in 2015/16 to 4.6 km.
- ❖ Similarly, the proportion of area more than 5 km from all-weather roads dropped to 33.5 percent from 31.6 percent last year.
- ❖ By 2019/20, it is envisaged to narrow the proportion of area more than 5 Km from all-weather road to 13.5 percent.

c. Railway

- ❖ The major advantage of rail transport is that it helps transport bulky products. For more than a century, Ethiopia was served by an international meter gauge railway, from Addis Ababa to Djibouti City in Djibouti. **The railway was built from 1897–1917 and was about 781 km** long primarily served to move export- imports for a long time. Compared to those of the developed countries the railway was backward. It was also a single lane track. Eventually the Ethio-Djibouti Railway and its decades old rolling stock was lacking spare parts and forced to closed down over a number of years.

- ❖ Recently a new railway line of 750 km length connecting Addis Ababa to Djibouti, was officially inaugurated in Djibouti in 2018. The Addis Ababa–Djibouti Railway is a new standard gauge international railway that serves as the backbone of the new Ethiopian National Railway Network.
- ❖ It provides Ethiopia with access to the sea, linking Addis Ababa with Djibouti and its Port of Doraleh. More than 95% of Ethiopia's trade passes through Djibouti, accounting for 70% of the activity at the Port of Djibouti.

- ❖ The other important railway is **Addis Ababa Light Rail Transit**. It is the first light rail and rapid transit in eastern and sub-Saharan Africa. The total length of both lines (north-south and east-west) of the rail is 31.6 kilometres (19.6 mi), with 39 stations.
- ❖ The rail project was constructed by China Railway Engineering Corporation Limited (CREC) and is currently operated by Chinese firm Shenzhen Metro Group Company. It is estimated that AALRT currently transports about **60,000 people daily**, significantly reducing traffic congestion in the capital, Addis Ababa.

d. Waterways- water ways are two types. These are seaways and inland waterways. When we talk of **seaways** we are talking about open areas. Ethiopia being a **landlocked country** does not have direct access to such areas. Presently, the Red Sea through the port of Djibouti is very important for Ethiopia's external trade. **Inland waterways** are classified in to two i.e., **rivers and lakes**.

Because of the nature of the topography over which Ethiopian rivers flow, Ethiopian rivers with the exception of Baro and Omo in their lower courses, cannot be used for transportation. On some of the lakes like Tana and Abaya there is small-scale transportation. The contribution of inland waterways to the Ethiopian economy is very small.

e. Airways- the other transportation mode, fairly recent in appearance and modern in its constitution, is air transport. Air transport is the fastest means of transportation from one place to the other. It has reduced distances by minimizing the travel time. It is very essential for a country like Ethiopia, where the topography is difficult for communication. There is no problem of laying the track for airways. The problem with air transportation is that they are expensive and cannot be used for transporting bulky products. EAL serve some forty-five cities and towns in the country. The reputed Ethiopian Airlines also gives impressive international service

Communications

❖ Communication is the process of conveying messages to others.

An effective communication system plays a vital role to: accelerate the pace of development, enhance closer social integration, and to promote the basic aim of economic activities.

Some of the communication services that are commonly used in Ethiopia include radio, television, internet, satellite, print publications, fixed and mobile telephones, and post offices.

Microwave radio; open-wire; HF, VHF, UHF radio communication services; and satellite contribute to the domestic telecommunications system.

Trade in Ethiopia

- ❖ Trade is a process of exchange of products involving change in ownership of commodities. The development of trade in a country depends on the development of production activities.
- ❖ Trade basically arises when regions or persons complement one another with their products. A country carries out two types of trade.
- ❖ These are **internal trade and external trade**.

- ❖ **Internal trade:** This refers to the exchange of goods and services within the country. It can be done between regions or within a region.
- ❖ **External Trade:** External trade refers to the exchange conducted between countries. In other words, it is concerned with import-export trade.

Foreign Trade

- ❖ The main reason that necessitates trade with one another rather than running completely independent economies is that, the **earth's resources are not equally distributed across its surface**. That means different countries have different factor endowments, and the international mobility of these factors is severely limited. Some countries are rich in capital resources, others are rich in labor resources, and still others are rich in natural resources. Hence, every country must trade with others to acquire what it lacks.

Structure of Commodity Export of Ethiopia

- ❖ As the Ethiopian economy is an **agrarian economy** its merchandise (visible) export is determined by agricultural products. According to the data from National Bank of Ethiopia/NBE/, for all study periods the export structure of Ethiopia has been characterized by greater concentration of few traditional exports such as **coffee, oil seeds, and pulses and chat**. Coffee dominates the total merchandise export item of the country and accounts for 29.5% of visible export earnings. Oilseeds accounting for 14.9 % take the second position followed by pulses 9.5 %, and chat 9.5 %.

The Geographic Structure of Exports

- ❖ Alike the commodity structure, the country's exports has been concentrated geographically with largest proportion of exports destined to limited markets.
- ❖ The major export destinations for Ethiopian goods show that Asia accounted for 39.8 % of Ethiopia's export earnings followed by Europe (28.7%). On the other hand, about 20.9 % of Ethiopia's export earnings originated from markets in Africa.

- ❖ Looking at the direction of trade by individual country, five countries (China, USA, Netherlands, Saudi Arabia and Djibouti) are important which account for 39% of the Ethiopia's export between in 2015/2016.
- ❖ With regard to imports of goods, during 2017/18, Asia accounted for 64.2 percent of the total imports of Ethiopia followed by Europe (19.3 %).
- ❖ Ethiopia's total imports with the U.S.A accounted for 9.4 percent of the total import bill. About 51% of Ethiopian's merchandise import originated from china, U.S.A, Japan, Italy, and USA.

❖ **Tourism in Ethiopia:** Types, major tourist attraction sites, challenges and prospects UNWTO (2002) defined tourism as:

"Tourism comprises the activities of persons traveling to and staying in places outside their usual environment for not more than one consecutive year for leisure, business and other purposes"

- ❖ Tourism is one of the largest and most important industries in the world in terms of employment creation and generation of foreign revenue. As a worldwide export category, tourism ranked fourth in 2013, after fuels, chemicals, food, and ahead of automotive products
- ❖ As one of the developing countries, Ethiopia and its tourism is becoming an important sector contributing a great deal towards the social, cultural, and economic development aspects of the country.

- ❖ Though tourism development is still unsatisfactory, international tourist arrivals in Ethiopia have shown a considerable growth.
- ❖ Likewise, the contributions of tourism income to GDP as well as export earnings are growing in recent years.

Types of Tourism

- ❖ Ethiopia is endowed with unique landscape, paleontological, archaeological, historical and living cultural tourism attractions. Based on these attractions diverse types of tourism are there in the country.
- ❖ The common tourism forms in the country include living culture tourism, history tourism, archaeology tourism, palaeontology tourism, park tourism, geo-tourism, agro-biodiversity and coffee tourism, rural tourism, conference tourism and sport tourism are

Major Tourist attraction sites of Ethiopia

Historic Attraction sites

- i. The Obelisk of Axum
- ii. The Churches of Lalibela
- iii. The Castles of Gondar-
- iv. The Walls of Harar

Natural Attraction sites

- i. The Blue Nile Falls-
- ii. Simien Mountains-
- iii. The Rift Valley Lakes-
- iv. The National Parks:

Challenges of the sector to be addressed

❖ Ethiopia's possession of varied attractions is regarded as an opportunity for the sector. However, at present, the following major challenges are also confronting the sector:

Weak institutional framework and implementation capacity, skilled human resources and financing

Very limited accommodating capacity of international standards for leisure tourism, with investment concentrated in main cities and business-type hotels.

❑ Lack of basic and IT infrastructure present challenges for tourism businesses

Narrow product range offered to the market by incoming operators

Weak private sector associations

Unplanned destination development

Poor visitor management in natural and heritage sites puts sites at risk

Poor tourism statistics

- ❖ Ethiopia has a wealth of natural and cultural resources, with some unique cultural and natural features that set it apart from other African destinations.
- ❖ Current international trends in world markets present opportunities to diversify the product portfolio and attract more visitors, and international markets were prioritized by the Marketing and Branding Strategy as being among the ‘core’ markets with high revenue potential and high affinity for leisure travel to Ethiopia, as well as among the ‘steady markets’ that are easier to penetrate.